suspect. The majority ignores a long line of our decisions. In the past this Court has not hesitated to apply the rational basis test to regulatory classifications that distinguish between domestic and out-of-state corporations or burden foreign interests to protect local concerns. The Court has always recognized that there are certain legitimate restrictions or policies in which, "[b]y definition, discrimination against nonresidents would inhere." *Arlington County Board* v. *Richards*, 434 U. S. 5, 7 (1977) *(per curiam)*. For example, where State of incorporation or principal place of business affect the State's ability to regulate or exercise its jurisdiction, a State may validly discriminate between foreign and domestic entities. See *G. D. Searle & Co.* v. *Cohn*, 455 U. S. 404 (1982) (difficulty of obtaining jurisdiction over nonresident corporation provides a rational basis for excepting such corporations from statute of limitations); *Metropolitan Casualty Ins. Co.* v. *Brownell*, 294 U. S. 580 (1935) (domicile of insurer relevant to statute of limitations as foreign insurers' offices and funds generally located outside State); *Board of Education* v. *Illinois*, 203 U. S. 553, 562 (1906) (State's greater control over domestic than foreign nonprofit corporations justifies discriminatory tax).

A State may use its taxing power to entice useful foreign industry, see *Allied Stores of Ohio, Inc.* v. *Bowers*, 358 U. S., at 528, or to make residence within its boundaries more attractive, see *Zobel* v. *Williams*, 457 U. S. 55 , 67–68 (1982) (BRENNAN, J., concurring). Though such measures might run afoul of the Commerce Clause, "[n]o one disputes that a State may enact laws pursuant to its police powers that have the purpose and effect of encouraging domestic industry." *Bacchus Imports, Ltd.* v. *Dias*, 468 U. S. 263, 271 (1984); *Western & Southern Life Ins. Co.* v. *State Board of Equalization of California*, *supra*, at 668. Cf. *Edgar* v. *MITE Corp.*, 457 U. S. 624, 646 (1982) (POWELL, J., concurring in part) (noting State's interest in protecting regionally based corporations from acquisition by foreign corporations).